

Do Externalities End Secular Bull or Bear Markets?

OF ALL THE things I have ever written or said about the markets over the past three decades, none have generated as vociferous a response as the Bloomberg column published on April 1, 2020.^{[203](#)} Seeing this five years later provides a glimpse of what panic and emotionality looked like in real time. It is a harsh reminder why investors must *always* manage their emotions.

The column was titled “Maybe Coronavirus Didn’t End the Bull Market.” The immediate response, often in ALL CAPS or festooned with R-rated language or both, was that I was an idiot or a fraud or some kind of a clueless incompetent. And those were the nicer emails.

The frightened angry tone made it obvious that people were in full-blown panic mode. The 34% drop in the S&P 500 was *obviously* only the first leg down of a worsening sell-off. Rather than look at the historical record of externalities, people instead looked at the GFC crash, still fresh in their minds. I suspect some combination of recency bias and PTSD were at play.

The first quarter of 2020 saw a sudden collapse in equity markets into late March. Widespread assumptions were that the long bull market was over, and a new secular bear market had begun.

As discussed earlier, that 20% yardstick for determining the beginning or end of market cycles is simplistic and blindly mechanical. This 20% measure doesn’t help you figure out where—or more importantly when—to put investment capital to work.

Instead, consider what markets typically look like when things go awry: On average, it takes 255 days for indexes to fall 20% from their peaks.^{[204](#)} The Covid plunge was the fastest on record, taking just 17 trading days.

With so many unknown factors at play—how fast will the spread of Covid-